
PAPERBOY

TUESDAY, SEPTEMBER 1, 2026

The United States and Iran traded fire around the Strait of Hormuz over the weekend — the first direct exchange since the strait closed — and Washington is weighing a second round.

AI

Brussels puts ChatGPT under the Digital Services Act

WHAT HAPPENED

The European Commission designated **ChatGPT a Very Large Online Search Engine** on 31 August, the first AI chatbot placed in that category, and designated Reddit and Roblox as Very Large Online Platforms. The trigger is the DSA's threshold of 45 million average monthly users in the EU; OpenAI self-declared **159.1 million**. Designated services must run systemic-risk assessments covering illegal content, harm to minors, mental and physical wellbeing, fundamental rights and risks to elections and public security, submit to independent audits, and give regulators data access. They have **four months from notification** to comply, and the DSA's penalty ceiling is 6% of global annual turnover. Source: the Commission's own announcement (digital-strategy.ec.europa.eu).

WHAT IT MEANS

The category matters more than the designation. Classifying ChatGPT as a search engine rather than a platform means Brussels is treating a chatbot as a way people find information, with the election-integrity and minors obligations that follow — not as a hosting service. That is the regulatory framing every other assistant will now be measured against, and OpenAI's own user declaration is what put it there.

WATCH NEXT

The four-month clock runs to roughly January 2027. The first systemic-risk assessment is the document to read.

a16z adds \$1.75bn to its growth fund, days after a \$1.1bn bet on AI hardware

WHAT HAPPENED

Andreessen Horowitz has grown its fifth Growth Fund from the **\$6.75bn** it launched with in January 2026 to **\$8.5bn**, per TechCrunch on 31 August. It comes days after the firm announced a separate **\$1.1bn “Machine Age” fund** on 28 August, aimed at startups building chips, memory, networking and storage. Growth-fund lead David George said the money goes into “enterprise and consumer AI tech, defense tech, robotics, infrastructure hardware and software, and health tech”. Source: [TechCrunch](#).

WHAT IT MEANS

Venture capital is moving down the stack. The Machine Age fund is explicitly about the physical layer — the same memory and networking bottleneck that is showing up in Korean export data and in Dell’s gross margin. When the largest US venture firm raises a dedicated hardware vehicle, it is pricing the shortage as durable rather than cyclical.

WATCH NEXT

The Machine Age fund’s Form D on EDGAR, which should appear within days and will give the actual close rather than the announced number.

Chips are now 47.5% of everything South Korea exports

WHAT HAPPENED

Korea's **Ministry of Trade, Industry and Resources** reported August exports of **\$98.25bn, up 68.7% year-on-year**, imports of \$63.51bn (+22.6%) and a trade surplus near **\$34.75bn**. Semiconductors alone were **\$46.65bn, up 209%** — a third straight month above \$40bn, and **47.5% of total exports** against 24.7% a year earlier. Exports to China rose 119.3% to \$24.1bn and to the US 89.3% to \$16.5bn; cars fell 29.8% to \$3.85bn on strikes and fewer working days. Officials credited “heavy spending on AI infrastructure by hyperscalers”. July's comparators, confirmed on the ministry's own site, were \$98.89bn total and \$41.01bn of chips. The English release was not yet posted at filing; the figures come from [Korea Times](#) and [Xinhua](#), both citing the ministry by name, against the July primary at english.motir.go.kr.

WHAT IT MEANS

Nearly half of a \$1.9tn economy's export book is one product category, and it doubled in a year. That is the AI build-out measured at a national scale rather than a corporate one. It is also a concentration risk: the same number that makes Korea look strong is the one that makes it a single-sector bet, and the 29.8% fall in car exports shows how little else is carrying weight.

WATCH NEXT

Whether the ministry posts the English release with a unit breakdown, and September DRAM contract settlements.

Dell reports tonight, and gross margin is the whole story

WHAT HAPPENED

Dell reports fiscal Q2 after the US close today, with a guide of **\$44-45bn** in revenue and adjusted EPS of **\$4.80 ± \$0.10**. Infrastructure Solutions is expected to grow around 75%, including roughly \$15.5bn of AI server revenue; last quarter carried \$24.4bn of new AI bookings, \$16.1bn of AI revenue and a \$51.3bn backlog. The number that matters is further down: company-wide gross margin fell to **17.8% in Q1 from 21.1%** a year earlier, which management attributed to AI mix, citing inflation across memory and other components and constraints in DRAM and NAND. Guide and margin figures via a [Motley Fool preview](#) of the Q1 call; the results themselves were not out at filing.

WHAT IT MEANS

This is where the memory squeeze stops being a Korean story and becomes an American one. Dell buys HBM and DRAM at whatever the shortage costs and sells servers at contracted prices, so the cost passes straight through the margin line. A big revenue beat with a 17% gross margin means the AI build-out is being financed by the systems vendors, not by them.

WATCH NEXT

The gross margin line tonight, not the backlog. A backlog number can be booked; a margin cannot be argued with.

Euro-area factories post their best month in four and a half years

WHAT HAPPENED

S&P Global's final euro-area manufacturing PMI for August came in at **52.7**, up from 51.9 in July and a shade below the 52.8 flash reading, published this morning. Anything above 50 signals expansion. Output grew at its fastest pace in four and a half years, and new export orders rose for only the second time in that span. Germany had its strongest manufacturing month in over four years; Italy recorded its first decline since January and Spain stayed in contraction. Reported from the S&P Global release via [Investing.com](https://www.investing.com).

WHAT IT MEANS

European industry has spent three years being written off, and the export-orders line is the one that argues otherwise — external demand, not just domestic restocking. Germany leading is the surprise, given that German manufacturing was the specific thing everyone had given up on. One month is not a recovery, but two consecutive months of export growth after four years of decline is a change in direction.

WATCH NEXT

The composite and services readings later this week, and whether Germany's run survives September.

China's two PMIs disagree by nearly two points

WHAT HAPPENED

The Caixin/RatingDog manufacturing PMI for August came in at **51.5**, up from 50.9 in July, with new orders growing for a fifteenth straight month — the longest run since 2018. The official NBS manufacturing PMI released a day earlier was **49.8**. The two surveys sample different economies: Caixin weights smaller, private, export-facing firms in the coastal provinces, the NBS weights large state-owned enterprises. Caixin figure via [RTTNews](https://www.rttnews.com); we could not confirm the exact release timestamp against our cut-off, so treat the freshness as likely rather than certain.

WHAT IT MEANS

A 1.7-point gap between the two surveys is unusually wide, and it points the same way it has all year: China's exporters are doing better than its heavy industry. That is consistent with the Korean numbers above — the electronics supply chain is running hot while construction and state-linked manufacturing are not. It also means anyone quoting "China's PMI" without saying which one is telling you half a story.

WATCH NEXT

Whether the gap narrows in September, and the August trade figures when they land.

Clover says it is profitable at a \$350m run-rate, and raises €86.2m more

WHAT HAPPENED

Berlin-based home-energy company Clover announced profitability three years after launch, on annualised revenue above **€301.7m (~\$350m)**, alongside a new **€86.2m** financing facility that takes its total financing capacity past **€1.12bn**, underpinned by a €350m guarantee from the European Investment Fund. It also launched an AI product line bundling home energy management, tariffs and a virtual power plant that aggregates solar, batteries and EVs. Founder Peder Betschart: “We reach households through the installers they already trust, and then we turn each of those homes into a power plant.” Lowercarbon Capital led its 2024 seed. Source: [EU-Startups](#).

WHAT IT MEANS

Profitability at that scale is rare enough in European climate tech to be the headline on its own. The structure is the interesting part: an EIF guarantee doing the credit work that a bank balance sheet would otherwise have to, which is how a company with no deposit base finances household installations.

WATCH NEXT

Whether the virtual-power-plant revenue is ever broken out separately from installation financing.

Bolt goes back to its investors with a pay-to-play

WHAT HAPPENED

Ryan Breslow is raising a bridge round of **up to \$27m** for checkout company Bolt, structured as pay-to-play — existing investors who decline to participate see their preferred shares converted to common, per [TechCrunch](#) on 31 August.

WHAT IT MEANS

Pay-to-play is what a board does when persuasion has stopped working. Bolt was valued at \$11bn in 2022; a \$27m bridge with a coercion clause is the distance travelled. Expect more of these structures as 2021-vintage rounds run out of runway without an AI story to tell.

WATCH NEXT

Whether the round closes at the top of the range, and which existing holders take the conversion.

Three smaller rounds worth noting

WHAT HAPPENED

Magna International put **\$35m** into Indian battery-swapping company Yuma as a Series A. AI media-search company Clipto raised **\$15m** at a **\$250m** valuation, three years after founding. Swiss email-security firm xorlab raised **€5m** in a Series A+ led by Spicehaus Partners, with Grapha Holding, EquityPitcher Ventures and ZKB Start-up Finance participating; its chief executive framed it as European sovereignty — “Europe needs its own cybersecurity champions. Not European copies of US incumbents.” Sources: [TechCrunch](#) and [Startupticker](#).

WHAT IT MEANS

The sovereignty pitch is now doing real fundraising work in Europe, and a €5m Series A led by a Swiss fund is evidence that it convinces domestic capital more easily than it convinces customers.

WATCH NEXT

Whether any European sovereignty-branded security company wins a large public-sector contract this autumn.

US

Army Secretary Dan Driscoll resigns on short notice

WHAT HAPPENED

Dan Driscoll stepped down as Secretary of the Army after 18 months, announced 31 August. The White House statement, from spokeswoman Anna Kelly, called him “highly effective in advancing President Trump’s agenda... during historic military operations”. Reporting ties the departure to friction with Defense Secretary Pete Hegseth: Hegseth is reported to have removed four officers — two Black men and two women — from a promotion list after Driscoll declined to, and to have forced out a Driscoll adviser in February. That account originates with New York Times reporting from March 2026 rather than this week, and the White House has not addressed it. No successor has been named. Sources: [NPR](#) and [Army Times](#).

WHAT IT MEANS

A service secretary leaving without a successor named, in the same week the administration is weighing strikes on Iran, is not routine timing. The specific dispute — who controls promotion lists — is about whether the civilian service secretaries retain any independent authority over personnel, which is the quiet constitutional question underneath the personality clash.

WATCH NEXT

Who is named acting secretary, and whether the nomination goes to the Senate when it returns on 11 September.

Nine more drugmakers sign most-favored-nation pricing deals

WHAT HAPPENED

The White House announced agreements on 31 August with **Alcon, Astellas, BeOne Medicines, BridgeBio, CSL, Kyowa Kirin, Sun Pharma, Teva and UCB** to bring US prices down to “the lowest paid by other developed nations”, covering treatments for haemophilia, Parkinson’s and cancer among others. The companies committed a combined **\$19.6bn** in US manufacturing investment. By the administration’s own count this brings the total to **26 manufacturers covering 89% of the branded drug market**. It was issued as a fact sheet, not an executive order. Source: [whitehouse.gov](https://www.whitehouse.gov).

WHAT IT MEANS

Drug pricing is being set by bilateral deal rather than by statute, which makes it fast and makes it fragile — nothing here survives a change of administration without legislation. The manufacturing commitments are the trade the companies are getting: capital-expenditure pledges in exchange for price concessions, with no published schedule tying either to a date.

WATCH NEXT

Whether any of the 26 publish the actual price schedules, and whether the \$19.6bn is ever broken down by site.

The US and Iran exchange fire around Hormuz

WHAT HAPPENED

US forces struck **Larak Island** — the first US attack on Iranian territory in weeks — against what CENTCOM described as “IRGC minelaying forces posing an imminent threat in the Strait of Hormuz”. Iran’s IRGC then fired missiles and drones at **two US bases in Jordan on Sunday 30 August**; eight missiles were intercepted by Jordanian and US defences and **no casualties were reported** at either base. President Masoud Pezeshkian said Iran is “not looking for war, but will never sit still in the face of any aggression”. On Monday Trump told Fox News: “We’re going to hit them hard; there will be a response.” Axios reports the administration weighing further limited strikes in the strait to degrade Iranian radar and missile capability, an unnamed official describing the aim as to “mow the lawn” — Axios-originated and unconfirmed elsewhere. The IRGC’s own damage claims are unverified. Sources: [Al Jazeera](#), [Jerusalem Post](#), [Axios](#).

WHAT IT MEANS

Hormuz has been closed since late August, and until now the pressure had been financial — sanctions designations, seizures, insurance. This is the first direct military exchange, and both sides fired at targets chosen to be survivable: an island facility, two bases with air defences ready. That is escalation designed not to force a response, which is also how these things get away from everyone.

WATCH NEXT

Whether CENTCOM posts anything to its own site — its public release archive has not been updated since 15 August — and whether a second round follows before the UN General Assembly.

The SCO signs 28 documents in Bishkek and nothing on gas

WHAT HAPPENED

The Shanghai Cooperation Organisation's Heads of State Council met in **Bishkek on 1 September** for the bloc's 25th anniversary, chaired by Kyrgyz President Sadyr Japarov, and signed the **Bishkek Declaration plus 27 further documents** — a new “Universal Center for Countering Challenges and Threats” among them. **No Gazprom-CNPC or Power of Siberia 2 announcement emerged**, despite the pipeline being on the Xi-Putin agenda the day before. Reported by [TASS](#), Russian state media — attribute accordingly.

WHAT IT MEANS

Twenty-eight documents and no pipeline price is exactly what the May Beijing summit produced. The SCO has never been where China commits capital to Russian infrastructure, and this did not change that.

WATCH NEXT

Putin's plenary at the Eastern Economic Forum in Vladivostok, 3 September. Separately: EU foreign ministers meet in Ireland 1-2 September, four states pressing to revisit the €210bn in frozen Russian assets Belgium has blocked.

Nepal's toll passes 987, and the tunnels are still sealed

WHAT HAPPENED

Nepal's disaster authority now counts **987 dead, 3,916 missing, 11,814 rescued and 279 injured** from the Bhotekoshi flood. Of the missing, 639 are hydropower workers and 583 are foreign nationals; the figure has fallen from 4,247 on 31 August, which is reclassification rather than a correction. At the Upper Trishuli tunnels, rescuers had reached about **200 metres inside Trishuli-1 by 11am today and carried out no rescues**; 3A is being pumped out, 3B is still being dug open. Sources: [Kathmandu Post](#) and [OnlineKhabar](#).

WHAT IT MEANS

No one has come out of the tunnels alive since the army's early extractions; this is now a pumping operation rather than a search. The 639 hydropower workers are the largest identified group among the missing — one industry absorbed most of this disaster.

WATCH NEXT

Whether any tunnel is fully entered this week, and the first reconciliation of the missing list against the foreign-national counts.

Correction: Guinea-Bissau voted on a referendum, not a president

WHAT HAPPENED

Sunday's vote was a **constitutional referendum** on moving Guinea-Bissau to a presidential system, not the presidential election this brief called it on 31 August. The 55%-plus turnout figure from the CNE's Idrissa Djalo stands, but applies to the referendum. Provisional results were due today and had not appeared at filing; the general election is still **6 December**. Source: [Al Jazeera](#).

WHAT IT MEANS

The substance is larger, not smaller: a vote to concentrate power in an office the transitional president cannot contest in December. The opposition called for a boycott.

WATCH NEXT

The provisional result, and whether the boycott makes turnout contestable.

SOURCES

[European Commission](#) — ChatGPT, Reddit and Roblox designated under the DSA

[TechCrunch](#) — a16z brings growth fund to \$8.5bn

[Korea Times](#) — August exports jump 68.7% to \$98.25bn

[Ministry of Trade, Industry and Resources](#) — July trade release

[Motley Fool](#) — Dell reports Tuesday and its server margin is where the AI memory bill lands

[Investing.com](#) — Euro-area manufacturing PMI final, August

[RTTNews](#) — Caixin China manufacturing PMI, August

[EU-Startups](#) — Clover secures €86.2m facility

[TechCrunch](#) — Breslow raising up to \$27m pay-to-play for Bolt

[TechCrunch](#) — Magna puts \$35m into Yuma

[Startupticker](#) — xorlab raises €5m

[NPR](#) — Army secretary stepping down

[Army Times](#) — Driscoll resigns on short notice

[White House](#) — fact sheet on nine additional drug pricing deals

[Al Jazeera](#) — US strikes Iran's Larak Island

[Jerusalem Post](#) — Iranian strikes on US bases in Jordan

[Axios](#) — Trump weighing limited strikes in Hormuz

[TASS](#) — SCO Heads of State Council, Bishkek (state media)

[Kathmandu Post](#) — Nepal flood death toll rises to 987

[OnlineKhabar](#) — Rasuwa flood rescue update

[Al Jazeera](#) — Guinea-Bissau referendum count begins